

Nivara Home Finance Limited

October 07, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term bank facilities	RBI	800.00	CARE A-; Stable	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

Reaffirmation of the rating assigned to Nivara Home Finance Limited (Nivara) continues to factor in experienced management team with established domain expertise in the housing finance sector, demonstrated track record of timely equity support from promoters and investors, and their stated commitment towards supporting the company's growth requirements. The rating also derives comfort from Nivara's adequate credit appraisal, underwriting, collection, and risk management practices, which have supported healthy asset quality metrics despite the company's focus on the low-income and economically weaker borrower segment. The company witnessed a steady increase in its scale of operations, with assets under management (AUM) growing to ₹1,089 crore as on June 30, 2026, and an improvement in profitability in FY26. The rating also continues to benefit from the comfortable capitalisation levels, which provides adequate capital buffers to support future growth and moderately diversified funding profile for its scale of operations.

However, strengths are partially offset by Nivara's relatively modest scale of operations, limited portfolio seasoning, and geographic concentration in its lending portfolio. The rating also takes cognisance of the moderation in asset quality indicators in the recent period, although these continue to remain at comfortable levels. The company's borrower profile remains susceptible to risks arising from economic disruptions and income volatility, inherent to the affordable housing finance segment, which is partly mitigated by secured nature of its lending portfolio.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Significant growth in scale of operations while maintaining healthy asset quality and profitability, with return on managed assets (ROMA) sustaining above 3%.
- Further diversification in liability profile with demonstrated ability to garner resources at competitive rates.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Reduction in the anticipated support, dilution in promoter shareholding below 51%.
- Deterioration in asset quality with gross non-performing assets (GNPA) ratio above 3%.
- Deterioration in profitability metrics on a sustained basis.
- Overall gearing exceeding 3.5x on a sustained basis.

Analytical approach: Standalone

CareEdge Ratings has assessed the standalone business and financial profiles of Nivara, while also considering its linkages with the promoter given the support received through capital infusions and management involvement.

Outlook: Stable

CARE Ratings Limited (CareEdge Ratings) believes that Nivara will receive continued support from promoter, and that the company's capital adequacy will continue to remain comfortable, while reporting a healthy scale-up in operations and maintaining steady asset quality.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

²Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Detailed description of key rating drivers

Key strengths

Management with adequate experience and demonstrated track record of regular equity infusions from promoters and investors

Nivara was co-founded by CV Rao in partnership with Monik Koticha, Founder of ASK Investment Management Limited (ASK), and Sunil Rohokale, Managing Director and CEO of the ASK group. Monik Koticha and Sunil Rohokale continue to serve on the company's Board of Directors and provide strategic oversight. Promoters remain actively involved in driving the company's strategic direction and key business decisions, while also demonstrating a strong commitment to supporting its capital requirements and growth plans.

The company has consistently raised equity with support from its promoters and marquee investors. Most recent capital raise of ₹245 crore in March 2025, significantly strengthened the company's capital base, with Greentribe Consumer Care LLP (True North) contributing ₹170 crore, Baring India contributing ₹50 crore, and Sunil Rohokale and Sameer Koticha contributing ₹12.5 crore each. Consequently, the company's tangible net worth improved to ₹488 crore as on March 31, 2026, from ₹189.9 crore as on March 31, 2024, and further increased to ₹494.2 crore as on June 30, 2026. As on June 30, 2026, promoter shareholding stood at 63.38%, followed by Baring India at 18.93% and True North at 17.69%.

The continued and timely equity support from promoters and established institutional investors reflects their confidence in Nivara's business model and growth prospects which has enabled the company maintain a strong capitalisation profile while supporting rapid expansion in its scale of operations.

Comfortable capitalisation levels

Capital infusion of ₹245 crore in March 2025, materially improved the company's capital buffers and provided greater financial flexibility to support business growth. The company's overall gearing levels continue to remain low at 0.88x as on June 30, 2026. Capital adequacy ratio (CAR) and TierI CAR continues to remain comfortable and stood at 73.82% and 72.89% respectively as on June 30, 2026. CareEdge Ratings expects the company to maintain an overall gearing level below 3.5x on a steady-state basis, supported by its strengthened net worth, periodic equity infusions. Ability to maintain capitalisation at comfortable levels while growing loan book rapidly will remain a key monitorable.

Comfortable asset quality metrics led by adequate risk management practices

Nivara has an adequate risk management mechanism framework, which includes monitoring of the credit portfolio monthly, usage of Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) report for additional legal scrutiny. Nivara follows conservative underwriting standards with a granular ticket size of ~₹7 lakh, largely lending to customers with two-three earning members in the family. Lending is undertaken at a low loan-to-value (LTV) ratio of ~30%, providing a comfortable buffer against credit risks. These practices have enabled Nivara maintain healthy asset quality over the years. The company's operational track record of around nine years provides a reasonable performance history, though asset seasoning remains moderate, given the long-tenure nature of housing loans and the sharp loan book expansion witnessed in recent years, with AUM increasing by ~49% to ₹979.6 crore as on March 31, 2026, from ₹658.6 crore as on March 31, 2025, and further to ₹1089.3 crore as on June 30, 2026. Asset quality indicators witnessed moderation in FY26 and Q1FY27, mainly attributable to the operating environment with stress witnessed in MFI sector. CareEdge Ratings notes increase in delinquency levels in the recent cohorts compared to the earlier cohorts and the leading to increase in credit cost, which continue to remain healthy. Gross Stage 3 and Net Stage 3 assets stood at 1.38% and 0.93%, respectively, as on March 31, 2026, compared to 0.75% and 0.49%, respectively, as on March 31, 2025.

The company's ability to maintain asset quality metrics at healthy levels while sustaining high growth and navigating business expansion will remain an important rating monitorable.

Moderately diversified resource profile

The company's borrowing profile is moderately diversified for its size, and it has been able to bring down the share of borrowings from non-banking financial companies (NBFCs) and housing finance companies (HFCs). As on June 30, 2026, funding mix comprises of term loans from banks forming 75.2% as on June 30, 2026 (June 30, 2025: 66.3%). Simultaneously, share of NBFCs/HFCs declined to 13.0% as on June 30, 2026 (June 30, 2025: 20.6%). NHB refinance lines stood at 11.9% as on June 30, 2026 (13.1% as on June 30, 2025). The company has an established lender relationship with 18 lenders, as on June 30, 2026. However, funding concentration remains moderate, with top five lenders accounting for 64.0% of total borrowings outstanding on the same date.

The company's ability to further diversify its liability profile by expanding its lender base, tapping into varied sources of long-term funding, and reducing concentration towards a few lenders will remain important from a credit perspective. While current resource diversification is adequate for its scale, CareEdge Ratings will monitor evolution of the funding mix as the company grows, given that liability management is a key determinant of stability for housing finance companies.

Key weaknesses

Geographically concentrated operations

As on June 30, 2026, Nivara established its presence across Karnataka, Maharashtra, Andhra Pradesh, Telangana, and Tamil Nadu, with 110 branches and employing 1405 people. The loan portfolio stood at ₹1,089 crore, with top geographic exposure being Karnataka, which forms 60.6% of the portfolio, as on June 30, 2026 (June 30, 2025: 64.5%). The company plans for deeper expansion in the existing geographies in the medium-term. CareEdge Ratings expects company to maintain its growth momentum with scaling up of operations while maintaining comfortable capitalisation levels over the medium term. However, the company's ability to gradually diversify its portfolio beyond Karnataka will remain a key monitorable, as geographic concentration continues to expose the portfolio to region-specific risks.

Moderate but improving profitability metrics

The company's net income margin (NIM) improved from 7.79% in FY25 to 10.47% supported by company operating at lower gearing levels following equity infusion in March 2025 and improvement in cost of borrowings. The company also witnessed increase in other income with increase in disbursements and higher direct assignment (DA) income because of upfront ₹25.2 crore (FY25: ₹8.3 crore) in FY26. The company's pre-provision operating profit (PPOP) increased by 149.6% from ₹22.0 crore in FY25 to ₹55.0 crore in FY26. The company's opex/average total assets continue to remain high at 9.80% (FY25: 8.33%) with company being in expansion phase. Credit cost increased to 0.67% in FY26 (FY25: 0.20%). Consequently, return on total assets (ROTA) improved to 4.35% in FY26 against 2.27% in FY25. However, it may be noted that ROTA (adjusted for upfront DA income) stood at 1.44% in FY26 against 1.08% in FY25). ROTA stood lower at 2.55% in Q1FY27, against 4.35% in FY26 owing to higher opex, however ROTA (adjusted for DA income) stood higher at 2.04% in Q1FY27 (FY26: 1.44%).

Considering the company's branch expansion plans in the pipeline over the near-to-medium term, the company's ability to source funds at competitive rates and keep operational expenses under control would be critical to attaining healthy profitability in the medium term.

Inherent risk associated with the borrower segment partly offset by the secured nature of lending

Nivara's lending operations are primarily targeted towards the self-employed and informal income borrower segment in semi-urban areas, a customer base that typically lacks formal income documentation. This segment is inherently more vulnerable to volatility in cash flows and economic disruptions, which heightens credit risk. Despite challenges in income assessment, a significant proportion of Nivara's borrowers possess established repayment records through prior loans for gold, two-wheelers, and consumer durables, providing an alternative proxy for creditworthiness. The company supplements this with its conservative underwriting framework and close borrower engagement.

Importantly, the company maintains a fully secured loan book, with all exposures backed by residential properties. The portfolio is further de-risked by a low average LTV ratio of ~30%, which provides a substantial collateral cushion. These measures have collectively enabled Nivara to sustain healthy asset quality metrics over s, despite operating in a relatively higher-risk borrower segment.

While the company's focus on informal-income borrowers exposes it to inherent vulnerabilities, the combination of collateral-backed lending, conservative LTVs, and borrower profiles with some repayment track record mitigates risks to an extent. Going forward, Nivara's ability to manage portfolio quality amid external disruptions and maintain robust risk practices as the loan book scales up will remain a key monitorable.

Liquidity: Adequate

Per the asset liability management (ALM) statement of June 30, 2026, the company has no negative cumulative mismatch supported by high undrawn sanctions and interest portion considered in the ALM. The company had maintained cash and bank balance and liquid investments of ₹31 crore as on June 30, 2026. However, excluding interest component and undrawn sanctioned lines, the company has a negative cumulative mismatch in six months to one year bucket and 1-3 year bucket with negative cumulative mismatch of ₹30 crore and ₹84 crore respectively, against which company has undrawn sanctioned lines available of ₹246 crore as on June 30, 2026. The company plans to maintain minimum liquidity for three months of repayments in form of on-balance sheet liquidity and undrawn bank lines.

Applicable criteria

[Definition of Default](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Financial Sector](#)

[Housing Finance Companies](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Housing finance company

Nivara is an HFC incorporated on December 02, 2014, by CV Rao and Sunil Rohokale and Monik Koticha. Nivara obtained license to commence operations from September 18, 2015, on receipt of certificate of registration from NHB to operate as a non-deposit accepting HFC. The company is engaged in providing housing loans to individuals for construction, purchase, repair and upgradation of houses to the under-served segments in the lower- and middle-income categories, including those employed or self-employed in micro and small enterprises. As on June 30, 2026, Nivara is operating from Karnataka, Maharashtra, Andhra Pradesh, Telangana, and Tamil Nadu, with 110 branches across these states, and has an AUM outstanding of ₹1,089 crore.

Standalone Financials

Brief Financials (₹ crore)	March 31, 2025 (Restated) (A)	March 31, 2026 (A)	Q1FY27 (UA)
Total income	117.7	175.6	46.1
Profit after tax (PAT)	15.8	37.6	5.8
Assets under management (AUM)	658.6	979.6	1089.3
On-book gearing (x)	0.88	0.74	0.88
AUM / tangible net-worth (TNW) (x)	1.47	2.01	2.20
Gross non-performing assets (NPA) / gross stage 3 (%)	0.75	1.38	1.52
Return on managed assets (ROMA) (%)	2.14	3.87	2.18
Capital adequacy ratio (CAR) (%)	124.11	80.49	73.82

A: Audited; UA: Unaudited; Note: these are latest available financial results

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Fund-based - LT-Term Loan	RBI	NA	-	-	-	March 2034	596.44	CARE A-; Stable
Fund-based - LT-Term Loan	RBI	NA	Proposed	-	-	-	203.56	CARE A-; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Fund-based - LT-Term Loan	LT	800.00	CARE A-; Stable	-	1)CARE A-; Stable (30-Sep-25)	1)CARE BBB+; Stable (06-Mar-25) 2)CARE BBB; Positive (05-Apr-24)	1)CARE BBB; Stable (17-Apr-23) 2)CARE BBB; Stable (05-Apr-23)

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable**Annexure-4: Lender details**

To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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